

Outlook

From	lerato.khumalo@cfo.office.keystonebank.co.za
To	analytics.retail@keystonebank.co.za, pricing.customer.value@keystonebank.co.za
Cc	product.fintech@keystonebank.co.za
Sent	Thu, 16 Apr 2020 15:39:00 -0000

A defensible value proxy for the planning round

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

Finance needs a customer-value proxy for planning, but a full profitability engine and cost allocation are not available. Please start with the decision we need to make, then show whether the available evidence is strong enough to support it.

Could the answer be that recurring inflows and product depth identify durable value? Or are we actually seeing that some low-volume relationships are strategically valuable because of loan or deposit behaviour? I also do not want us to miss the possibility that high activity is being offset by service and fee friction.

We looked at a version of this before. For the April 2020 review, please show what changed and whether the earlier conclusion still holds. The practical decision is how to segment relationships for planning without pretending the proxy is accounting profit. Please send a short decision pack with no more than five slides and an attached evidence table; I need the exceptions and counter-examples, not only an average.

Work from monthly account snapshots, status events, limits, product enrolments and signatories; transaction-level timestamps, channels, amounts, statuses and error context; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; customer contacts, complaints and suggestions; campaign design and customer responses. Label the result as a value proxy. It is not net interest margin, return on equity or customer profitability.

Regards